

Who's afraid of New Institutional Economics' idea of institutional change?

MICHEL ZOUBOULAKIS

*Department of Economics, University of Thessaly
mzoub@econ.uth.gr*

1. Introduction

Over the last two decades, a growing number of economists concentrate its attention to ideas and topics dealing with historical matters, such as 'social institutions', 'social norms', 'culture', 'institutional change', 'lock-in', 'path-dependence', etc. Among them, many economic historians defining themselves as "New Institutionalists" are particularly interested in the process of institutional evolution and change. The Nobel laureate Douglass C. North believes that "institutional change shapes the way societies evolve through time and hence is the key to understanding historical change" (1990, 3). He therefore, devoted a great part of his work to account for the mechanisms of historical change overtime. To do so, he focused upon individual values and incentives interacting with the social context in order to explain economic successes and failures in different historical situations.

Despite its general recognition, this view is very often criticized especially as far its historical insight is concerned. It is argued that North and new economic historians in general, are using models and concepts that are "ahistorical, asocial, timeless and universal". At best the New Institutional approach to Economic History (NIEH) is blamed to be too narrow and too analytic to be able to apprehend accurately the complex and multifaceted evolution of societies; it is not rejected because it is wrong or unrealistic, but because it claims for historical understanding of economic phenomena.

What is exactly wrong with the New Institutionalists idea of historical evolution? Is it their connection with standard neoclassical theory? Or, is it

their methodologically individualistic point of departure? Is it perhaps their loose concept of ideology or their problematic view of the State? Should one blame them for using concepts historically satiated to explain the formation and evolution of social institutions of the past? Should any historically aware economist be afraid of their idea of history and change after all?

Attempting answering to these questions is the main objective of this communication. Of course, not the whole Programme of Research of NIEH will be assessed; only its historical-evolutionary character will be discussed. One may have many reserves and objections as to the competence of their historical analysis. What we believe to be untenable is the allegation of a-historicism and of universalism related to the character of the concepts and models developed by Douglass North.

2. On North's a-historicism

The allegation of a-historicism is mainly based upon three interconnected arguments dealing with his neoclassical roots, his individualistic point of departure and his inclination to universalism. **First**, North's institutional economic history suffers from conceptual problems related to its neoclassical foundations (Field 1981, Pitelis 1998, Ankarloo 2002, Fine-Milonakis 2003).

Willing to explain the formation and evolution of institutions, North starts from the rational choices of the individuals seeking for optimum solutions to their everyday economic (vital) problems. Although conceded that he formally rejected the standard neoclassical assumption of perfect rationality, thus recognising that individuals are partially informed and have limited calculation skills, it is alleged that North's historical analysis "cannot do away fully with the barren burden of his original economic paradigm" (Ankarloo, 23). Despite his effort to deviate from neoclassical economics, he continues to hold that institutions derive from the optimising decisions of individuals and respond to changes in the set of relative prices (or more generally costs) that individuals face.

Critics say that to explain changes or variations in institutional structures North used initially (1973) an economic efficiency argument: an institutional arrangement prevails because it solves in the more efficient way (with less cost, counting also transaction costs) the problems related to production and exchange, including the rules of social organization of every production system. Because the efficiency argument proved to be insufficient to explain the persistence of inefficient institutions, as North himself recognised later on (1990, 7), he abandoned it, focusing on the way that property rights are distributed by the rulers to understand the historical evolution of different production systems, from the “agricultural” to the “industrial revolution” (North 1981). Although he did appeal to a broader notion of the state using the concept of “ideology” of the ruled people, as a means to explain inefficiency and underdevelopment, his treatment of ideology remained at the periphery of his theoretical model. In his post-1990 work, even though he put greater emphasis on informal institutions and constraints, such as myths, dogmas, prejudices, taboos etc., his objective is always to understand how these institutions affect individual decision making and subsequent institution building.

The **second** crucial claim against North’s a-historicism, closely related to the former, concerns his methodological point of departure. Even if his commitment to neoclassical rationality is disputable, his methodological individualism remains as one of his cornerstones. As it is emphatically pointed out, “the individual is the source of everything, structure as well agency, with everything otherwise potentially depending upon everything else” (Milonakis-Fine 2004, 4). Behind this lies the over centennial Holist critique against the possibility of explaining social phenomena and their historical evolution in individual terms. As it will be argued in more detail bellow, this is not decisive to qualify North as a-historicist, nor consists a fundamental criticism for the historical understanding of society in general. Starting from the individual is not equivalent to be institutionally blind,

unless institutions are only taken into consideration as exogenously given and do not affect individual patterns of behaviour. But this is not North's case.

Finally, **third** North is charged of universalism (Field 1981, Binger-Hoffman 1989, Ankarloo 2002, Fine-Milonakis 2003, Ankarloo-Palermo 2004).

In his attempt to explain the historical evolution of human societies North, it is said, is using the very same terms and categories, as if these societies were ruled by the same capitalist logic. Attempting thus to judge the efficiency of historical institutions 10000 or 2500 years ago, assuming that people and rulers had the same incentive structures, the same enforcement mechanisms or simply the same economic logic as in our advanced industrial societies, is committing a serious fallacy, that of universalism. For a Nobel laureate economic historian this is a serious charge. Some critics go even further and say that North is "taking history itself out of history" (Milonakis-Fine 2004, 19); or that in his work "history is invoked to illustrate theoretical preconceptions" (Ankarloo 2002, 23); or even that "behind [his] theoretical niceties lurks the same capitalist apologetics" (ibid. p. 29). In fact, and beyond all these firecrackers, what is essential here is the very old problem of historical specificity of any social theory: is it ever possible to understand a historical situation with the tools and concepts constructed in a different, and often remote, historical situation. That is the question!

3. Tracking North

Answering properly to such fundamental matters as the above is not possible in the space of a short communication. What is possible is to provide some elements to decide about the meaning of North's History. To start with, it is only reminded, what is already known to his careful readers, that North's historical approach and narrative has considerably evolved from his 1966 study on *Growth and Welfare of the American Past* to his contribution on *Institutional Change* of 1990 and his self-evaluation papers over the last decade (see Groenewegen 1995, Rutherford 1995, Hodgson 1998, Vanderberg 2002). What was true about his overall method of judging about the efficiency and

persistence of historical institutions based on strictly utilitarian principles, is no longer when he focuses on the cognitive determinants that make cooperation and exchange possible.

Having stated that, it becomes easier to assess North's deviation from the neoclassical view of economic rationality and reassess the allegation of a-historicism. Critics of North did not really believe him when he was calling attention to the "failure of economists to appreciate the transitory character of the assumed constraints" of individual choices (North 1978, 963). They were suspicious before his declaration that "a neoclassical world would be a jungle and no society would be viable" (North 1981, 11). They remained unconvinced even when he expressively rejected the neoclassical efficiency criterion as a means to evaluate government action: "Pareto efficient or Pareto superior conditions simply don't make a great deal of sense" (North 1986, 236). Because, as he emphasized:

"What we can say is that something is Pareto efficient given the institutional structure. But needless to say that's exactly what the NIE is attempting to get away from: that is, taking as given the institutional structure of the society" (idem).

If North really believed that the same logic of individual choice prevails in every society, as it is held in neoclassical economics, then "institutions are unnecessary, ideas and ideologies don't matter" (North 1993, 16). On the contrary, because "ideas and ideologies play a major role in choices" and since "perceptions about justness, fairness and values ... [have] a life of their own in the context of the evolution of moral ideas and perceptions", he is able to conclude: "to ignore this dimension would be to limit our understanding of long-run institutional change" (North 1986, 235).

Understanding therefore the social values or more generally the culture of a specific society, became crucial to North's perception of institutional change. One can justly put the blame on him for not having understood that from the beginning, but that is a minor objection. Once he has 'discovered' ideology, meant as "the subjective perceptions (models,

theories) all people possess to explain the world around them” (North 1990, 23, fn 7), he completely modified the neoclassical behavioural assumptions:

“If our understanding of motivation is very incomplete, we can still take an important forward step by taking explicit account of the way institutions alter the price paid for one’s convictions and hence play a critical role in the extent to which nonwealth-maximizing motivations influence choices” (North 1990, 26).

North not only rejects here the neoclassical view of human behaviour, but he wishes to enlarge our view from a more sociological perspective, breaking thus away from the conventional self-sufficient Economics. Of course his starting point remains individualistic and microeconomic, but this is not enough to qualify his analysis as asocial or anti-evolutionary. Nelson and Winter (1982) have also adopted the microeconomic concept of ‘satisficing’ in order to explain the behavioural pattern of capitalist firms, and still they are the founding fathers of modern evolutionary approach to Economics.

Starting from the individual is the **second charge** against North’s a-historicism. Focusing on the individual choices and actions, say its critics, excludes (or at least minimises) the influences of the social context and therefore of the history that goes with it. Collectivities (e.g. nations, states) and social groups (e.g. classes, tribes) have history; individuals don’t (apart from the history of their own life). Individuals, although not passively or deterministically, understand, think and act inside a particular social structure which conditions their behaviour. As noted above, this is a very old issue that has not an empirically or methodologically conclusive answer: if one starts from the social whole it is impossible to explain individual purposes and initiatives; if he/she starts from the individual it is impossible to understand the origin of individual beliefs and constraints. As it was rightly stressed, “we are involved in an apparently infinite regress similar to the puzzle of ‘which came first, the chicken or the egg?’” (Hodgson 1986, 219). Unfortunately, there is no obvious synthesis of the two opposites, linking individual agency and social structure, which can be unanimously accepted.

After an endless debate of over more than a century -involving so many great social thinkers from Durkheim and Weber, to Parsons and Popper- it can only be said that both emphases on the primacy of the individual or of the society are false (cf. Boland 1982, 28 ff.; Gordon 1991, 651 ff.; Hodgson 1998, 184). Even an old Institutionalist such as Veblen has “dismissed the idea that the individual’s actions are explicable entirely in terms of socio-economic circumstances” (Hodgson 2001, 141).

From our view point here, there are two serious arguments that clear North from the charge of a-historicism due to his methodological individualism: that he no more adopts the strict individualistic institution-free starting point of analysis, and that his view can be best characterised as ‘institutional individualism’, as it focuses on individuals institutionally constrained. The first argument is printed in the very first page of his 1990 book:

“Institutions are the rules of the game in a society or, more formally, are the humanly devised constraints that shape human interaction. In consequence they structure incentives in human exchange, whether political, social, or economic” (North 1990, 3).

In that perspective, institutions cease to be considered as data exogenously given. Because they are evolving through time, they interact with human agency. This is how came to North that ideas and ideologies matter: because, “ideas and ideologies shape the subjective mental constructs that individuals use to interpret the world around them and make choices” (North 1990, 111). In that sense, individual preferences are indeed endogenous, since they are produced by the history of every society (cf. Bowles 1988, Pagano 2000). Although one may not be satisfied with North’s definition of ‘ideology’, it still remains that it is a concept socially constructed, embracing all individuals within a specific social context or group and therefore affecting their behavioural pattern. By incorporating habits, routines and customs into the centre of economic analysis, North admits that individual action depends on the institutional structure. Its incentives, perceptions and ways of thinking are

“socially transmitted...and are a part of the heritage we call culture” (North 1990, 37). While it is not always safe to make textual comparisons, let us contrast the next two quotations:

“men make their own history, but they do not make it just as they please; they do not make it under circumstances chosen by themselves, but under circumstances directly encountered, given and transmitted from the past.”

“The agent of change is the individual entrepreneur responding to the incentives embodied in the institutional framework... the complex of rules, norms and enforcement that constitute the institutional framework.”

The last one comes from North (1990, 83) while the first one comes from Karl Marx’s *18th Brumaire* (quoted in Milonakis-Fine 2004). In both quotations, the real issue is the interaction between “men” and their “circumstances” or between the “entrepreneur” and his/her “institutional framework”. Regardless their diverging methodological starting point –wholes or atoms-, their positions seem to have no abysmal differences.

The second argument that differentiates North’s individualism from the neoclassical is that it involves the interaction between the individual and his social context. His whole project of understanding institutional change is based upon this fundamental interactive process. Individuals are neither creators in an institution-free situation, nor the pure by-products of their context. They are “both constructive within and constructed through society” (Hodgson 1986, 222). North has therefore been rightly characterised as ‘institutional individualist’, because “on the one hand the individual is constrained by the existing institutional structure, whereas on the other hand, he or she is capable of changing that structure according to his or her preferences” (Groenewegen 1995). From that point of view, North shares the same methodological position with Classical Political Economists, and especially John Stuart Mill (cf. Zouboulakis 2002).

As a result of this position, the representation of the individual is context specific. There is no more an abstract individual, the so-much hated *homo oeconomicus*, common to all times and places. Quite the opposite,

“economic (and political) models are specific to particular constellations of institutional constraints that vary radically both through time and cross sectionally in different economies” (North 1990, 110).

Mill held a similar position in his *System of Logic*:

“For every individual is surrounded by circumstances different from those of every other individual; every nation or generation of mankind from every other nation or generation; and none of these differences are without their influence in forming a different type of character” (1843, 864).

Therefore, the fact that one adopts methodological individualism is by no means equivalent to anti-historicism. Max Weber is another one good example of both methodological individualism and thorough historical investigation, through his ideal-type analysis. Even Marx himself did use individualistic arguments to explain the tendency of the falling rate of profits as a fatal result of the wealth-maximisation behaviour of capitalists. There is however a controversial point about North’s methodological starting point. It raises an issue of “an unresolved conflict between the two main components of North’s approach; between his neoclassicism and the modification he wishes to make to the standard rationality assumption” (Rutheford 1995). Not unexpectedly, North is even accused by his critics of going too far with his deviance from neoclassical economics by putting too much emphasis on non-economic constraints, contributing thus to the “disappearance of the economic” (Ankarloo 2002, 21).

The **third allegation** is more disturbing. North was early enough aware of the danger of universalism. In his contribution to the *International Encyclopaedia of Social Sciences*, he has warned the readers about the right application of economic models to the past:

“application of these models to given historical situations requires the specification of the particular functional forms, parameters, or changes in parameters which may not be known to the economic historian” (North 1968, 469).

Yet, and as many careful readers have noticed, North has not always followed his own warning. Thus, in his 1973 book co-written with Thomas, he applied the economic efficiency criterion to explain the low performances of early pre-capitalist societies “as if there were an omniscient social maximizer” (Field 1981, 185). Additionally, he tried to explain the emergence and prevalence of such early institutions such as private property and settled agriculture with the same concepts and models –i.e. property rights and transaction costs analysis- as the appearance of the first capitalist firms in 18th century (North 1981). That is a serious problem for any historical explanation worthy of its name (cf. Vanderberg 2002, 229). The same argument is valid for his understanding of the ancient Greek cities’ economic performances, or even his explanation of the transition from the open field system to the post-enclosures agriculture in 17th century England. In view of the absence of significant information that specify fully the application of our actual economic models, “there is a serious problem of circularity when such reasoning is applied to analyses of the origins of institutions in history” (Binger-Hoffman 1989, 78). An institution, is thus believed, to be efficient because it has prevailed over his ‘opponents’, and by the same token, the prevalence of an institution is explained by its efficiency!

Actually, nobody denies the possibility of applying a model of explanation to remote historical situations, yet not without the proper specifications as North himself has acknowledged as early as 1968. Still, there is a considerable distance between a general-theory-of-everything and its exact opposite, a theory specific of a particular time and place. “If history matters... then our analyses must explore the particularities of the past. While we may retain general principles or guidelines, detailed analyses of particular events, structures and circumstances are required” (Hodgson 2001, 3). A

theory of institutional change can certainly be applied in a remote historical setting, but without overlooking the fact that there are no universal patterns of behaviour for all times and that each institutional setting may enjoy fundamentally different societal values (cf. Kyriazis-Zouboulakis 2004).

4. Conclusive question: Is North an evolutionary scientist?

According to Veblen's well known definition "an evolutionary economics must be a theory of process of cultural growth as determined by the economic interest, a theory of a cumulative sequence of economic institutions stated in terms of the process itself" (1898, 393). Therefore, evolutionary explanations should focus on the process of institutional change itself realising that it is "self-continuing, self-propagating and without final term" (Hodgson 1998, 184). From that particular angle, we believe that there are many reasons to consider North also as an evolutionary economist.

Starting from Veblen's definition there are in fact four distinctive characteristics in evolutionary thinking: a) the idea of endless cultural growth; b) the primacy of economic interest as a determinant factor of that growth; c) the focus upon economic institutions; and finally d) the cumulative character of the process of change.

That North believed in the primacy of the economic motive and put faith in the part of economic institutions (characteristics b and c) is beyond any doubt and needs no further discussion. On the other hand, as examined above, North has focused, at least since 1990, upon the necessity of understanding the process of cultural change as a means to explain the historical evolution of societies. Both remaining characteristics of evolutionary economics -the open ended and cumulative characters of the process of institutional change- are present in North's recent work.

The first characteristic refers to the idea of an open ended process of change. As noticed elsewhere (O'Hara 2000, 28) this is the opposite of the idea of tendency toward equilibrium. It means that economies and societies evolve

in a non optimizing process looking for the best or more efficient solution, but in an idiosyncratic way involving errors and regressions as well (Hodgson 1993, 223). From the moment that North has abandoned the efficiency view and has concentrated his attention to the contextual constraints of economic behaviour, he adhered to the open ended view of social evolution: “when economies do evolve, therefore, nothing about that process assures economic growth” (North 1991, 109). Moving away from the static view of an economic world being in stable equilibrium North is “condemned”, so to speak, to recognise the possibility of disequilibrium and inefficiency. This is why he acknowledged that “economic history is overwhelmingly a story of economies that failed to produce a set of economic rules of the game that include sustained economic growth” (1991, 98). His entire project of the study of institutions, both formal and informal, that provide the incentive structure of an economy, results from the recognition of the self-propagating as well as discretionary character of long-term economic evolution (cf. Bush 1987, 1108).

As to the cumulative character of institutional evolution and change, it lies in the heart of the concept of path dependence. This is central to North’s effort to explain how values and norms are transmitted from one generation to another: “the accumulated stock of knowledge of past experiences is built into our learning and is the deep underlying source of path dependence” (North 1997, 11). The process itself is incremental because norms and habits embodied in culture are inherited to future generations: “acquired characteristics are culturally transmitted” (North 1990, 87). This is why this process has been characterised Lamarckian and not Darwinian (Hodgson 1993, 234; 1999, 165; 2002, 270. Cf. Gordon 1991, 501; Witt 2004). But the process is also incremental in the sense of continuous:

“institutions typically change incrementally rather than in discontinuous fashion. How and why they change incrementally and why even discontinuous changes (such as revolutions or conquest) are never completely discontinuous are a result of the imbeddedness of informal constraints in societies... These cultural constraints not only connect the

past with the present and future, but provide us with a key to explaining the path of historical change” (North 1990, 6. See also pp. 45, 83).

To our understanding this is equivalent to admit that habits and routines within the firm act as ‘genes’ to pass on skills and information (Hodgson 1993, 234. Cf. Foster 2002). As Nelson and Winter have stated, “routines play the role that genes play in biological evolutionary theory” (1982, 14). Hence North shares unequivocally the evolutionary view of incremental institutional change.

Some years ago Warren Samuels has defined as one of the principal facets of Institutionalism the fact that it “emphasises the dual role of culture in a process of cumulative causation or co evolution”. The duality consists in the interactive play between the individual and its culture. As he remarked, “culture changes through the behaviour of individuals previously socialised in the culture yet the culture which an individual leaves behind is different from that in which he or she was socialised” (Samuels 1995, 574). We dare to say that there could be no better way to describe North’s central idea. That social institutions result from the activities of individuals while they constrain and mould them. Employing concepts such as ‘social norms’, ‘habits’, ‘routines’, ‘customs’ and so on, North helps economists to overcome their “institutional blindness”. Despite its theoretical weakness, by introducing ‘culture’ into the heart of his analysis, North is oriented toward context dependent and consequently historically specific explanations. This is why we believe that he definitely brings History back to economic theory.

5. References

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